TECH CENTRAL

BRITAIN'S BILLION-DOLLAR OPPORTUNITIES

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CANARY WHARF GROUP PLC

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> “WE NEED DIVERSITY OF THOUGHT IN THE WORLD TO FACE THE NEW CHALLENGES”

SIR TIM BERNERS-LEE

LEVEL39: FOURTH ANNIVERSARY

FOREWORD BY

SIR GEORGE IACOBESCU, CHAIRMAN AND CEO, CANARY WHARF GROUP

Level39, the most connected tech space in London and Europe's largest fintech community, is four years old.

Over 43,000 people walked through its doors in 2016 to spend time with its 200 member companies and their 1,000 employees.

London's tech ecosystem knows that the 39th floor of One Canada Square is home to ambitious entrepreneurs and global customers whose partnerships and collaborations will turn innovative ideas into successful business models, significant valuations and disruptive forces within finance. This is an environment people want to be a part of.

The ability to bring the world's largest corporates together with the UK's rapidly scaling technology businesses is one of Level39's greatest strengths. The billion-dollar challenges facing traditional institutions become billion-dollar opportunities for ambitious technology startups.

When Level39 was founded in 2013, few could have predicted the business landscape of 2017. Geo-political events have inspired a period of unprecedented uncertainty and turbulence. As questions are being asked about London's position in the world, entrepreneurs, corporates and government bodies are having to adapt to survive, finding new approaches to turn adversity into opportunity.

ANYONE WITH A BIG IDEA AND THE DETERMINATION TO MAKE IT HAPPEN IS WELCOME

In this context, innovation has never been more important. With companies across all sectors looking to consolidate their global footprint and gain incremental competitive advantages, technological disruption is the most precious commodity in the market.

For businesses at Canary Wharf it is no different and the continued focus on Level39 reflects that. In fact, there's never been a more exciting time to be at Canary Wharf, as we continue to welcome people from a range of different sectors and develop the residential community here. We're now home to a diverse range of startups, corporate companies, entrepreneurs, financial institutions, retail and will shortly be welcoming residential tenants.

In fact, the ratio between financial and non-financial services tenants at Canary Wharf has switched from 70:30 ten years ago, to 55:45 today.

Canary Wharf is a thriving technology cluster, including the likes of IBM, Intel, Infosys, Oracle, SunGard, Thomson Reuters, First Data, Citihub and one of London's tech unicorns, Skrill. Some 7,000 tech professionals now work full time for our tech occupants at Canary Wharf. Of course, the very core of our strength in this sector is Level39.

Creating a space that houses the frontline of British business is what Canary Wharf has always set out to achieve. From one of the world's busiest docks to the financial district built in the early 1990s. We have been at the heart of London's business reinvention and intend to be so again with facilities, connections and offices designed for fast-growth tech firms, scaling digital businesses and innovative global corporates.

Anyone with a big idea and the determination to make it happen is welcome and this report is testament to our commitment to ambitious businesses of the future.

THE HOME OF BILLION-DOLLAR AMBITION

INTRODUCTION BY
BEN BRABYN, HEAD OF LEVEL39

Canary Wharf is a beacon of British industry. The iconic pyramid that crowns One Canada Square has become synonymous with London's position at the summit of global finance. But there is trouble brewing. In the boardrooms of the world's largest financial institutions, management teams are grappling with challenges that threaten the continued success of the industry.

The answers to these billion-dollar problems are closer than they might think. And it's the CEOs based at Canary Wharf who have the best chance of redemption. But the scale of the challenge cannot be overestimated.

These are fundamental issues that cut to the heart of the future of finance. Technology has made financial services more affordable, accessible and efficient than ever before, leaving the banks facing a cliff-edge of digital disruption. Meanwhile the global economy hangs in the balance. The shifting sands of Western politics and the rampant growth of the Asian market are fuelling unprecedented international competition.

These are serious threats, grown-up problems, and billion-dollar challenges. But the financial institutions in Canary Wharf are better placed to meet these challenges than any other.

LEVEL39 HAS ESTABLISHED ITSELF AS THE HOME OF AMBITIOUS BUSINESS

Because amid this uncertainty, 200 entrepreneurial companies have been working tirelessly to solve them – at Level39.

In the four years since its launch, Level39 has established itself as the home of ambitious business. What began as a handful of entrepreneurs seeking to bring technology to finance has built momentum, thrived, and grown into a cohort of dynamic startups and scale-ups tackling vital problems from cybersecurity to financial inclusion, artificial intelligence to blockchain.

And we've had quite the year. In the past twelve months we have hosted senior political figures from the UK and around the world, CEOs of the world's largest financial institutions, VCs from the most significant tech funds and ambitious entrepreneurs relentlessly focused on innovation, scale and growth.

From a vantage point at the centre of this orbit, we have a unique insight into the opportunities and challenges facing the full ecosystem that fuels London's fast-growth tech companies. Whilst a year of unprecedented geopolitical turbulence has obvious ramifications for the industry's appetite for investment and risk, what strikes me is the sense of hardened resolve, of stiffened sinews and the relish of overcoming adversity amongst our community. For every problem, our ambitious startup and scale-up community at Level39, has an answer.

There is, however, more to be done. For the first time in centuries, London's position as an internationally significant centre for business is at risk. The financial institutions and global corporates upon which so many startups, professional services firms and employees depend are struggling to respond to the twin challenges of digital disruption and international competition.

Put another way, if banks don't equip themselves with the technologies which transform their core functionality, customer offerings, acquisition and behaviour, world-class cybersecurity capabilities, resilient and secure payments infrastructure – and take steps now to consolidate relationships with finance's outstanding growth market – Asia – they will fail. Embracing these innovations won't just enable financial institutions to equip themselves for Brexit and changing customer behaviour, but will solidify London's position as a financial services leader.

The constituent parts for future success already exist. Tech entrepreneurs are driving innovation in digital specialisms with unlimited potential for scale. Many financial institutions are investing in technology solutions and doubling down on international relationships. However, this process needs to be approached with more urgency.

The time for spectating is over; startups need to focus on customer engagement through product market fit and decision makers at banks need to open their cheque books. Breaking down the barriers between startups and corporates to unlock their potential is the role Level39 plays within the city's tech ecosystem. After all, our entrepreneurs are within a five-minute walk of 30 per cent of the world's financial services IT budgets.

These are Britain's billion-dollar opportunities – forging connections between the banks and incumbents and tech startups and scaleups.

Through relentless ambition, Level39's members are already realising the potential of this opportunity. Some relevant examples are showcased throughout this report. Token, for example, allows banks to generate revenues from programmable money and now sits on the Tech Advisory Board of HSBC. A product which answers a specific challenge faced by all banks is immediately fit to drive sales and influence.

Meanwhile, cybersecurity firm Digital Shadows is busy scouring the dark web to alert swathes of large corporates to the vulnerabilities they have and risks they face.

There are 200 similar stories within the Level39 community – startups selling to, and educating, global financial institutions in the UK and abroad.

THE TIME FOR SPECTATING IS OVER

Level39 is committed to creating a home for these billion-dollar ideas and making the connections required to realise these billion-dollar opportunities. After four years of growth, we know the specific interactions which make this possible, focusing our efforts on three key enablers:

- Access to customers
- Access to talent
- Access to infrastructure

The facilities across three floors of One Canada Square will continue to create the perfect environment for billion-dollar ideas to grow between startups and corporates. From the new Space39 refectory, redesigned to encourage collaboration within our community, to the continued mentor programme, placing ambitious influencers from the worlds of finance, policy and regulation among our members.

HOPE LIES IN THE STRENGTH OF OUR STARTUP AND SCALE-UP COMMUNITY AND ITS PROXIMITY TO INCUMBENTS WILLING TO ENGAGE, TAKE RISKS AND INVEST

The next five years will define the future of London and the UK in terms of industrial specialisms, economic status and employment prospects. Hope lies in the strength of our startup and scale-up community and its proximity to incumbents willing to engage, take risks and invest.

I can say with confidence that there is no better home for these ambitious entrepreneurs than Level39. Canary Wharf reinvented London once and now, with the success of Level39 and increasing diversification of the entire Estate towards technology, it is set to do so again.

This is the story we have sought to tell throughout Tech Central: Britain's Billion-Dollar Opportunities – the challenges overcome, connections made and opportunities grasped that sit behind all of our members and every billion-dollar idea. The following pages are an optimistic celebration of our industry, and a rallying cry for those who want to be a part of it.

EVALUATING AN ECOSYSTEM

We asked Level39 members to help us take the temperature of the fintech landscape – highlighting billion-dollar problems and billion-dollar opportunities.

BILLION-DOLLAR PROBLEMS

DO YOU THINK LONDON HAS AN ECOSYSTEM CAPABLE OF PRODUCING A CRITICAL MASS OF GLOBALLY SUCCESSFUL STARTUPS?

YES 90%

NOT SURE 8%

NO 2%

WHAT ARE THE BIGGEST RISKS TO GROWTH FACING GLOBAL CORPORATES IN LONDON'S FINANCIAL AND PROFESSIONAL SERVICES SECTORS?

SHORTAGE OF TALENT 19%

LACK OF INVESTMENT IN R&D 17%

INTERNATIONAL COMPETITION 15%

DIGITAL DISRUPTION 15%

MARKET SATURATION 11%

OTHER 9%

LACK OF INNOVATION 9%

OBSTRUCTIVE REGULATION 6%

LACK OF GOVERNMENT SUPPORT 0%

WHAT ARE THE BIGGEST CHALLENGES FACING STARTUPS IN LONDON?

ACCESS TO INVESTMENT 25%

SHORTAGE OF TALENT 23%

ACCESS TO CUSTOMERS 19%

OTHER 15%

OFFICE RENT AND SPACE 13%

INFRASTRUCTURE 6%

90% BELIEVE LONDON IS CAPABLE OF PRODUCING A CRITICAL MASS OF GLOBALLY SUCCESSFUL TECH STARTUPS

BILLION-DOLLAR OPPORTUNITIES

WHICH OF THE FOLLOWING SPECIALISMS DO YOU THINK FINANCIAL INSTITUTIONS NEED TO INVEST IN MORE URGENTLY?

- CYBERSECURITY 30%
- DATA SCIENCE 28%
- FINANCIAL INCLUSION 17%
- OTHER 15%
- ROBO-ADVISORS 4%
- MOBILE PAYMENTS 4%

WHICH OF THE FOLLOWING TECHNOLOGY VERTICALS DO YOU THINK WILL ATTRACT THE MOST INVESTMENT IN LONDON OVER THE NEXT FIVE YEARS?

- FINTECH 26%
- MACHINE LEARNING 22%
- DATA ANALYTICS 20%
- CYBERSECURITY 13%
- HEALTH TECH 7%
- VR/AR 7%
- OTHER 4%
- RETAIL TECH 2%

WHICH MARKETS DO YOU THINK WILL BE MOST ATTRACTIVE TO BRITISH TECH STARTUPS LOOKING TO EXPAND INTERNATIONALLY IN THE NEXT FIVE YEARS?

- US 32%
- ASIA 28%
- EUROPE 26%
- OTHER 6%
- AFRICA 4%
- LATAM 4%

30% BELIEVE INVESTMENT IN CYBERSECURITY IS THE TOP PRIORITY FOR FINANCIAL INSTITUTIONS

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BILLION-DOLLAR

OPPORT

U N I T I E S

DEFINITION:
Financial institutions have billion-dollar problems that can be answered by tech innovation. Connecting banks with startups creates billion-dollar opportunities for entrepreneurs, financial services and the British economy.

22% of Level39 members named machine learning as the technology vertical most likely to attract investment in London over the next five years.

EMBRACING DISRUPTION: FUTURE-PROOFING FINANCE

It's crunch time for London's financial services sector. Having survived the banking crisis, the industry has been making a steady recovery for the past few years, moving at a safe pace as it picks up the pieces. But outside influences are about to force its hand. The looming threat posed by Brexit is bringing the sector's digital challenges into sharp focus and inaction is no longer an option.

Article 50 is causing anxiety in the City. London's seemingly unshakable position on the global financial stage may not weather the storm if the world's largest banks move their headquarters to Frankfurt.

This hasn't gone unnoticed. When the Global Financial Centers Index was published in March, London's average score had dropped by 13 points. It retained its position at the top of the ranking, just ahead of New York, but in the wake of Brexit and all of its uncertainty, Singapore and Hong Kong were narrowing the gap.

Even closer to home, the challenge posed by digital disruption has been keeping banking bosses awake at night. Customer expectations have been transformed by the internet and the convenience offered by new technology. They're restless. And the fintech industry has quickly risen out of nowhere to meet these expectations – increasing the pressure on the incumbents.

Our survey of Level39 members pointed to access to talent, lack of investment in R&D, international competition and digital disruption as the biggest risks to growth faced by global financial incumbents.

As our banking industry limbers up to deal with the fall out from Brexit, it can't afford to have any chinks in its armour. The stakes are high and the requirements to transform legacy systems, find new revenue streams and offer better services for customers are fast becoming billion-dollar problems.

Luckily, while there are very few who can predict or stop the effects


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of Britain's exit from the EU, the financial services sector isn't facing digital disruption alone. An army of fintech startups are working on billion-dollar solutions a stone's throw from the world's largest banks. Level39, at the heart of Canary Wharf, is a thriving environment of ambitious change-makers, just waiting to turn billion-dollar problems into opportunities.

"Some traditional banks are still in denial and desperately wish to keep their existing business models," says Daumantas Dvilinskas, co-founder and chief executive of cross-border money transfer company TransferGo.

"However, the more innovative banks see a future built around the consumer and not about building monopolies. Consumers now have a free market to choose from, and they will go for the best service. Banks must be innovative to keep these customers."

Driving some of the banks' technology requirements is the revised Payment Services Directive

THE LOOMING THREAT POSED BY BREXIT IS BRINGING THE SECTOR'S DIGITAL CHALLENGES INTO SHARP FOCUS

BANKS CAN BENEFIT FROM THE ABILITY OF STARTUPS TO INNOVATE AND BUILD TECHNOLOGY RAPIDLY AND EFFICIENTLY

(PSD2) from the EU. This data-driven directive aims to drive increased competition, innovation and transparency across the European payments market and requires banks to grant third-party providers access to customers' online account and payment services. Inaction is not an option and banks have until January 2018 to respond.

PSD2 poses a huge opportunity for fintech companies. Often referred to as open banking, the directive lowers the barriers to market entry, putting banks' customer relationships within the grasp of these newer businesses. While it may seem like bad news for the banks, if they are willing to work with fintech firms, PSD2 could offer opportunities for them too. Fintech firm Token is already offering one such connection.

"We are creating an open banking platform which will bring new payment capabilities for consumers, merchants and corporates" says Todd Clyde, chief operating officer, Token. 'Banks will be at the centre of this new payment rail thanks to PSD2 and can seize this opportunity to create new revenues."

What at first seemed like a billion-dollar problem, quickly becomes a billion-dollar opportunity for banks with the right mindset. And there are plenty of these out there. Banks from all over the world are working closely with fintech companies to find the solutions they need.

"Banks can benefit from the ability of startups to innovate and build technology rapidly and efficiently. By collaborating with fintech companies we can offer more and better products to our customers," says Alexa Fernandez, new digital businesses at BBVA.

"In addition, fintech companies can help the industry with many of the challenges that are difficult to solve individually. Identity, artificial intelligence, cybersecurity, low interest rates and financial inclusion are just some of the examples."

This kind of collaboration can become one of London's new strengths. The UK capital has become a major hub for fintech. Add this to the already world-leading financial services cluster and you've got an ecosystem which allows new players and incumbents alike to thrive – meeting billion-dollar problems head on. As the country re-asserts its place on the world stage, this is exactly what the industry needs.

COLLABORATION SNAPSHOT: FORGING A SPECIAL RELATIONSHIP

TODD CLYDE,
CHIEF OPERATING OFFICER, TOKEN

BANKS AND CUSTOMERS HAVE YET TO REALISE WHAT OPEN SECURE ACCESS WILL DO FOR THIS INDUSTRY

There's something exciting on the horizon. Todd Clyde, chief operating officer of San Francisco-born startup, Token, sees big opportunities for banks thanks to EU payments directive, PSD2. "First there will be a rush by banks to comply, and then a land grab for new opportunity," he says. "Banks and consumers have yet to realise what open secure access will do for this industry."

Clyde has every right to be bullish. He and Token founder Steve Kirsch have a strong pedigree in spotting trends, starting and exiting successful businesses. Clyde spent ten years at Accenture before spending the next twenty working in technology startups.

Kirsch meanwhile is something of a Silicon Valley veteran. He wrote the first email programme for the internet before he even graduated from MIT. He later founded one of the first search engines, called Infoseek, which was acquired by The Walt Disney Company. Six companies and two billion-dollar exits later, he came to start Token.

"Steve's last company was focused on creating a single, secure sign on, called OneID. He soon realised payments was the killer application for that capability, so he then founded this company," explains Clyde. "We focused on creating a common, secure protocol for moving value over the internet. Instead of having 100 different payment rails, we can use the internet as a new payment rail with a secure protocol for transferring value."

Six months into Token's mission, the news about PSD2 grabbed the attention of the Silicon Valley startup. "It basically mandates exactly what our software does. So we set up a base in Level39 and have been solely focused on the UK and Europe ever since."

The PSD2 directive may be music to the ears of ambitious fintech startups, but it has set a challenge for incumbent financial institutions. "The banks have to consider whether this is an opportunity or a threat," says Clyde. "We've been meeting with them and discussing what it means and what their options are.

"Those choosing to do the bare minimum to comply are facing a problem and are going to open up a giant pipe into their account base. But those going on the offensive can look at creating new revenue and protect against disintermediation."

One bank already leveraging the support of Token is HSBC. The bank has invited founder Kirsch to join its technology advisory board. "HSBC is definitely on the offensive," says Clyde. "We have had many conversations with them exploring new business models which will be enabled in a post-PSD2 world. As a result of that, Andy Maguire the COO asked our founder to be on the technology advisory board."

Clyde is pragmatic about the threats facing the big banking institutions, but he's quick to point out that fintech-style solutions aren't beyond a bank's capabilities - there are other powers at play. "Fintech offers banks thought leadership and new technology but it's not because banks lack the ability themselves, it's because of the amount of systems and existing infrastructure they have in place. HSBC has 55 different core systems, so to upgrade to one core it would be very difficult.

"Challenger banks can wipe the slate clean from a technology perspective and potentially offer a better customer experience and product. PSD2 allows new capabilities to overlay a bank's existing infrastructure and will therefore enable the large banks to innovate at a faster pace."

THE BANKS HAVE TO CONSIDER WHETHER THIS IS AN OPPORTUNITY OR A THREAT

Collaboration between banks and the fintech community is clearly important. But Clyde understands better than most how difficult it can be to get things done. "Dealing with banks can be a blessing and a curse," he says. "The blessing is that they are customers for life, and the curse is how slow they move and how thorough and diligent they must be in selecting a partner. I pity the small startup who thinks fintech is a quick and easy path to success. They need to prepare for thorough evaluations and long sales cycles."

In the future, Clyde sees more cooperation between banks and institutions like Level39: "It's been a valuable partner for Token, not only by providing a brilliant work location but also by creating a fintech hub, connecting us to potential customers and providing air-time in the press."

FINTECH OFFERS BANKS THOUGHT LEADERSHIP AND NEW TECHNOLOGY BUT IT'S NOT BECAUSE BANKS LACK THE ABILITY THEMSELVES

It might not be easy, but it seems London and the UK are in front when it comes to fintech adoption and Clyde does not see this changing anytime soon. "The banks here are leading the way, especially in open banking. For a fintech company, signing the big UK banks is a jump-start – they're very important from a market-leadership perspective. I can't say what impact Brexit will have but the bank leadership and the fintech startups are still here and the appetite for better solutions is strong."

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DEFINITION:
The problems facing banks can be answered by specific tech specialisms. Verticals such as fintech, financial inclusion, blockchain and cybersecurity will produce the next generation of billion-dollar ideas.

30% of Level39 members think the technology vertical financial institutions most need to invest in is cybersecurity.

EMBRACING INNOVATION: SCALABLE SOLUTIONS

The Libor rigging scandal caused huge embarrassment for the financial services industry when it broke back in 2012. As the incriminating messages started to surface, the banks involved were left wondering how this could have happened undetected.

But thanks to artificial intelligence (AI) firm Digital Reasoning, it will be easier than ever to stop it from happening again. The company's technology understands and analyses human communication and can find targeted information in large quantities of data.

"When we started talking to financial services companies, they were dealing with the after effects of crimes committed by their own employees," says James Ollerenshaw, head of content and thought leadership, Digital Reasoning.

"In many cases they had an inkling these things were going on but their checks weren't working effectively and it was costing a lot of money and reputational damage. We have been able to apply our technology to analyse the internal communications inside the banks and find interactions that look suspicious."

Machine learning or AI is just one of the many burgeoning strands of fintech which are offering billion-dollar solutions to London's financial services industry. The harnessing of technologies at the heart of fintech areas such as AI, cybersecurity, financial inclusion and blockchain will help banking bosses sleep easier at night. As collaboration increases between the pioneers in these sectors and large corporates, many of the challenges faced by these incumbent players will be solved. Indeed, according to our survey, 22 per cent of Level39 members see

THE HARNESSING OF TECHNOLOGIES AT THE HEART OF AREAS SUCH AS AI, CYBERSECURITY, FINANCIAL INCLUSION AND BLOCKCHAIN WILL HELP BANKING BOSSES SLEEP AT NIGHT

machine learning as the tech vertical most likely to attract investment in the next five years. Cybersecurity was top of the list for 13 per cent.

Digital Shadows is one such cybersecurity firm, that helps companies to understand what risks they face and what their online footprint looks like. It searches the dark web, looking for vulnerabilities in digital infrastructure and pointing to conversations attackers might

DR LINUS ETUBE, CHIEF OPERATING OFFICER & DR JOY BRAUN, CHIEF EXECUTIVE, AINFIN

be having about a company's critical functions.

"Cybersecurity is front of mind at the moment. We've tripled in size in the past 15 months alone," says Becky Pinkard, VP service delivery and intelligence operations, Digital Shadows. "The reason it's taking off is that as a human race, we're getting used to the internet. We've had it in our lives for the past decade and a half and we've reached a tipping point where we've started to realise the consequences of our digital actions."

This is certainly reflected in our survey results. Cybersecurity topped the list of specialisms our members believe financial institutions need to urgently invest in.

Another branch of fintech which we're likely to see more of in the coming years is financial inclusion. Companies such as AinFin and Redcloud are both working to bring the kinds of services that we take for granted, to previously unserved people in developing countries and 17 per cent of Level39 members feel it is an area of urgent importance for incumbents to invest in.

"We want to bring about real structural change in the way people access commercial services, starting with developing markets where there is the greatest need," says Dr Linus Etube, chief operating officer, AinFin. "There is a reason financial institutions are not able to reach out to the unbanked. For banks in Africa the relative cost of doing

WE'RE DEFINITELY PART OF AN EMERGING ECOSYSTEM AND BULLISH ABOUT THE POTENTIAL OF BLOCKCHAIN

so is huge compared with banks servicing those in Europe. If you want to deliver physical cards to people across the African continent you've got a logistical nightmare. We deliver access to financial services by using tools people already have - smartphones. By downloading our app, people can turn their phones into payment processors."

Etube is quick to point out the technology Ainfin uses isn't beyond the reach of the banks. "We're not reinventing the wheel, we're using best-in-class technology in the most efficient way. We don't have a legacy system holding us back."

This year we're also likely to hear more about the commercial use of blockchain technology. The rise of cryptocurrencies has been talked about as a disruptive force in the financial services sector for a number of years but with the emergence of bank-friendly applications, we'll see it move further into the mainstream.

"We're definitely part of an emerging ecosystem and bullish about the potential of blockchain," says Danny Aranda, managing director for Europe at Ripple. "It's not just about us. We are very interested in seeing other players in the space be successful. We dedicate a lot of resource towards an initiative called Interledger, which is a platform for inter-operability between payment systems."

Collaboration, it seems, is not just central to the relationship between large corporates and startups, but to the success of these individual branches of fintech. By creating a busy ecosystem of these companies, Level39 enables the kind of ideas sharing these innovative companies require.

And with such a raft of exciting technology in the pipeline, there is cause for optimism. Whatever challenges the banks might face now and in the next few years, there are swathes of fintech startups with the solutions they need to meet them.

COLLABORATION SNAPSHOT:
CHAIN REACTION

DANNY ARANDA,
MANAGING DIRECTOR EUROPE, RIPPLE

The team at Ripple remember the moment banks started to pay attention to blockchain. It was around the time of the Sibos conference in Boston back in 2014. "I think it was the first time they began to think about payments and transaction infrastructure as the main use case for blockchain," says Danny Aranda, managing director, Europe at Ripple. "Our conversations at the conference definitely started gaining more traction for the company."

One such conversation was with Santander. Members of its innovation group were at the conference and were taken with what they heard from Ripple. "I got the feeling it was the first time they had met a blockchain company that was focused on enterprise uses and trying to collaborate with an institutional audience," says Aranda.

"At that time, a lot of the blockchain companies were more consumer focused and looked to displace current infrastructures as opposed to collaborating with them."

Ripple works with banks to transform how they send money across the world through its technology. Launched in 2012 in San Francisco, the company moved to Level39 last year so it could concentrate on the sizable European portion of the market. "We are new in town and we want to be part of the mix," says Aranda. "Level39's position as a centre for activities in the fintech space means it's a great place to be, whether it's about running into clients, new prospects or just focusing in on the industry. It really helps us to be embedded here in the UK fintech ecosystem."

WE ARE NEW IN TOWN AND WANT TO BE PART OF THE MIX. LEVEL39 IS A GREAT PLACE TO BE

Ripple's USP is its focus on cross-border payment and settlement. Solving a fundamental problem has given the company a truly global client base, working with 150 banks across the world, with 30 of those already using the platform to move money. "This group of banks is the first to offer a blockchain based service to their own retail and corporate clients," says Aranda. "We have been razor focused on ensuring what we deliver is not merely for testing or experimentation but about delivering something that solves a real and pressing problem."

Ripple's play in the transaction banking space is set to pay off. According to recent data from the FT, transaction banking has become one of the biggest drivers of revenue for global banks since 2011, overtaking equities and fixed income divisions.

A LOT OF BLOCKCHAIN COMPANIES LOOKED TO DISPLACE THE CURRENT INFRASTRUCTURES AS OPPOSED TO COLLABORATING WITH THEM

"Ten years ago banking was very focused on areas like investment banking," says Aranda. "I think we have hit on a strategic area of business within the banks that they are really interested in growing. And growth is the operative word here. We are not just about delivering a new and better system, but a system to do things you would not have done before. We expect that blockchain systems will unlock new reasons for people to transact and increase volumes significantly."

The opportunity Ripple represents for traditional banking institutions is clear. But it is perhaps its attitude that has helped Ripple to win the trust of banks like Santander. “The traditional view is the incumbents are old and slow and the new startups are fast and will displace them,” says Aranda. “We think particularly in highly regulated markets like financial services, the story is more nuanced and complex than that. It is actually going to require more collaboration to change how the world moves value.”

Following their meeting in Boston, Santander sent its UK chief operating officer Juan Olaizola to San Francisco to find out more – the bank has been working closely with Ripple ever since.

According to Aranda, collaboration with Santander has had huge benefits for the young company: “When you first launch a product, it will almost certainly have some issues, working with the bank has helped us improve our offering to the market.”

Of course, the more banks use Ripple, the better the product becomes. “This is somewhat of a networks business; Ripple is enhanced if there are others using it,” explains Aranda. “The very large tier one banks might start by using Ripple between branches, but certainly banks want to be able to use the technology to transact with other parties as well.”

Aranda admits it’s not always easy working with larger institutions, after all, getting a bank to upgrade its infrastructure is a tall order. With lots of stakeholders and risks involved, many pieces must fall into place for something to get off the ground.

But Ripple has found one strategy that seems to work. “I think the number one thing is to have a clear proposition,” says Aranda. “If you approach the market with a general proposition, it makes it less tangible to all the different stakeholders. You must present the problem your technology solves, where it is headed to in the long-term and where the opportunity is. If you can do this getting all those stakeholders on board becomes a lot easier.

WORKING WITH THE BANK HAS HELPED US TO IMPROVE OUR OFFERING TO THE MARKET

THE VIEW FROM SANTANDER

ED METZGER, HEAD OF TECHNOLOGY INNOVATION SANTANDER UK

IT'S VITAL FOR THE UK TO HAVE A FLOURISHING ECOSYSTEM OF COMPANIES WILLING TO DEVELOP AND DELIVER NEW SOLUTIONS FOR OUR CUSTOMERS

We were first introduced to Ripple through our investment arm called Santander InnoVentures, which has a pot of around $200m to invest in startups. A number of years ago it looked at Ripple and saw a financial services game-changer. InnoVentures made an investment and on the back of that, we started to look at how its technology could solve customer problems here in the UK.

Our collaborative focus is around understanding how we can use innovation in business models and in technology to truly help our customers. There is a perception among customers and across the industry that international payments aren't optimised and could definitely be done in a smarter way. So we're working with Ripple to supercharge that transformation.

So far, we've created a staff pilot, offering access to Ripple's technology to test how people interact with the proposition and make sure it will work in the interest of our customers. We've had great feedback and seen widespread usage, now we're exploring next steps, looking at how we can build on the successful pilot.

Level39 has offered banks an opportunity to meet with innovative businesses, big and small. We've been to various events there and it's a fantastic place for startups to get constructive feedback in a supportive environment. As an industry we are only just scratching the surface and beginning to harness the huge benefits that fintech offers our customers.

We are committed to supporting innovation in the UK and see it as essential and the foundation upon which the country will build a successful technology industry. It's vital for the UK and global financial services scene to have a flourishing ecosystem of companies willing to develop and deliver new solutions for our customers, we want to play a pivotal role in that change.

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BILLION-DOLLAR

ECOSY

YSTEM

DEFINITION:
Breaking down barriers and making connections will put startups in front of customers and encourage banks to invest in innovation.

90% of Level39 members believe London has a successful startup ecosystem.

EMBRACING CHANGE:

CREATING THE BEST ECOSYSTEM

Canary Wharf is home to the world's largest and most powerful banks, the combined market cap of the tenants is more than $2.5 trillion. But as we've seen, they are not immune to outside threats: be that from digital disruption, political instability or regulation. They face billion-dollar problems. But without doubt, their neighbours in Level39, some of the best fintech minds in the world, hold billion-dollar solutions. The challenge that remains is to ensure these two parties can work together successfully.

The previously held assumption – that competition to the banks from fintech would be the big driver of meaningful change – no longer prevails. Collaboration, rather than aggressive competition, has emerged as the solution of choice.

The idea that fintech companies are working against incumbent players is, in most cases, incorrect. According to research by PWC 82 per cent of incumbents expect to increase fintech partnerships in the next three to five years. These young firms are often creating technology designed to be used by the banks themselves. It also remains the case that if fintech firms want to scale quickly, working with the experienced financial institutions and their customers is one way to do this.

"Our business would not exist if it weren't for banks," explains Daumantas Dvilinskas, co-founder and chief executive of TransferGo. "So we are not against banks – that's silly marketing talk by other players. Our business is based on building a very good business relationship with them. We bring people from cash into digital banking – with this in mind, we are actually accomplices with banks."

Collaboration between all parties helps to create a healthy ecosystem. It can help incumbent banks to make cost efficiencies, provide new products and services for customers and repair some of that lost trust. Meanwhile sharing ideas and insight can help improve the utility of new technologies - take the example of Ripple from the previous chapter, working with peers in the blockchain space to secure interoperability.

"We want an environment where ideas are shared and an open dialogue is encouraged," says

OUR BUSINESS WOULD NOT EXIST IF IT WEREN'T FOR THE BANKS

WE'VE REACHED A TIPPING POINT FOR THE UK FINANCIAL SERVICES INDUSTRY. THE CHALLENGES ARE CLEAR. BUT ONE MAN'S CHALLENGE IS ANOTHER'S OPPORTUNITY

Mike McCloskey, co-founder of energy platform Utilidex. "People who work in silos can become quickly blinkered about how they think their business should be run.

"Another thing we've learned from being at Level39 is that a strong ecosystem can speed up the process of your research - our questions about a certain technology might have already been answered elsewhere."

The benefits of a collaborative ecosystem are clear. But this conclusion alone will not lead to success. There is work to be done in making the most of cross-pollination.

"Collaboration between banks and fintech startups could be easier with a change of mentality – abandoning traditional bureaucratic approach and fear of innovation," says Anna Antimiichuk, communication lead at smart document management startup ClauseMatch.

"This should be substituted with open thinking and a common sense approach towards which solutions address a particular problem. If more doors are open, fintech will be able to show the full extent of value it can deliver in a very short period of time."

ClauseMatch has a successful relationship with Barclays, which is already bearing fruit for both sides. "We're helping the bank to automate policy management and further streamline compliance processes to boost efficiency, save time and money and reduce risks," says Evgeny Likhoded, chief executive and founder of ClauseMatch.

"Crucially, our work with Barclays is a very important use case for us – as we are able to advance our product in a real environment, applying it live at one of the largest global banks."

Level39, with its position in both the heartland of traditional banking and the centre of fintech, is well placed to facilitate this sharing of ideas. "It's not just a good address to have," says Rashee Pandey, marketing and communications manager, Bankable.

"You can have a casual conversation with a decision maker from a tier

1 bank in the Level39 environment whilst still presenting your thoughts and ideas, instead of attempting to get a formal meeting in the diary. Sometimes it's all about being in the right place at the right time."

We've reached a tipping point for the UK financial services industry and the challenges are clear. But one man's challenge is another's opportunity. And nowhere has this been more overt than in London's fintech ecosystem – which thrives on solving the problems our incumbent banking institutions face.

A whopping 90 per cent of Level39 members believe London has an ecosystem capable of producing a critical mass of globally successful startups.

These ambitious entrepreneurs can help the industry to be battle-ready for the years to come – asserting Britain's position as an innovative nation with the ingenuity to succeed on the global stage.

COLLABORATION SNAPSHOT:

EXCELLING WITH HELP FROM MICROSOFT

STEPHANIE GEORGIOU, SHANE O'HARA, NICK PAGE & AKSHAY PATEL

Payment processing startup Paymentology has been working closely with the startup team at Microsoft for the past 18 months, having met through an open forum at Level39. We caught up with Shane O'Hara and Akshay Patel, co-founders of Paymentology and Nick Page and Stephanie Georgiou from Microsoft's startup partnership team to hear about how their work together is helping the startup get ready for market and much more...

PAYMENTOLOGY

Akshay: We met the team at Microsoft through Level39, during a session where we had a few minutes to pitch to them. We have an advanced issuer-side payment processing platform, which essentially approves or declines transactions at the point of sale. Security and flexibility are our core USPs, along with the fact that we're fully cloud enabled - and in a world where banks use physical data centres, it's an obvious step forward.

NICK, STEPHANIE AND THE TEAM HAVE GIVEN US SIGNIFICANT SCOPE TO EXPAND UNBUFFERED, WITH NO UPFRONT COST

Shane: I think we're genuinely unique. There are fintech companies everywhere building apps and APIs. There certainly aren't many involved in issuer side payments, so I think we are a good addition to the Microsoft family. We've been working with Microsoft for a year and a half, migrating our products onto the cloud and creating a payment process that is more secure and vastly more scalable than the traditional processors.

Akshay: Nick, Stephanie and the team have given us significant scope to expand unbuffered, with no upfront cost. They've opened up access to expertise in the payment security standard (PCI) and cloud side, which has meant we can pressure test the platform and make sure what we're saying about security is 100 per cent the case. It's invaluable.

Shane: Being part of the wider Microsoft community has also helped us to gain insight into how other ISVs [independent software vendors] are doing things and has given us access to their client base. On the other side, there is still such a mixed attitude towards cloud uptake – I think that's another reason we are attractive to Microsoft; we are helping to break down those barriers.

It's funny, we launched Paymentology in 2015 and we've been in Level39 since the start. Our plan was to keep a relatively low profile whilst we progress through the early platform build phases, but it's impossible not to rub shoulders with the right clients here. We've been able to knock on all of the right doors and now have a pipeline of potential customers which we can activate once we're ready - all established here on Level39.

MICROSOFT

Nick: Startups require different things at different times. When we first met Paymentology their need was for technical support. They're working hard on their security functionality and we've been able to help them through that.

But the next steps will be to start engaging with larger institutions and

OUR PLAN WAS TO KEEP A LOW PROFILE WHILST WE PROGRESS THROUGH THE EARLY PHASES, BUT IT'S IMPOSSIBLE NOT TO RUB SHOULDERS WITH THE RIGHT CLIENTS HERE

we can certainly help them there because we have those relationships - the big banks are our customers. We use our customer and partner networks to help startups as their products become 'customer ready'.

We've been engaging with Level39 for quite a few years now - in different capacities. At first our enterprise group, which looks after some of the top businesses in the UK, was in touch with the team here.

More recently, Microsoft has had a stronger focus on startups, making this relationship even more important.

Stephanie: I spend a lot of time at Level39 meeting with the businesses here, understanding their solutions and establishing how they want to work with Microsoft. We have an offering called BizSpark Plus, which gives startups free software tools, technological support and brings them into our ecosystem.

Nick: We've had BizSpark Plus for a while but we've made a shift in the past year towards leveraging our account teams and their enterprise clients in a more targeted way. We can now plug these startups into our network - surfacing their solutions for our clients.

The reason we do all of this is simple. Our customers get enormous value out of these connections. A sizeable percentage of insight and new ideas come from outside of a large organisation. Our account teams engage with the key influencers and decision makers in the business landscape. Knowing what is happening in the industry, what startups are out there and which innovations are coming through empowers these account teams to offer valuable insight.

THE REASON WE DO ALL OF THIS IS SIMPLE. OUR CUSTOMERS GET ENORMOUS VALUE

Of course, we also want these startups to use our technology but we understand that we can't just sell our wares, we've really got to show our value first.

PLAYING IN THE RIGHT SANDBOX

**ANDY MAGUIRE,
CHIEF OPERATING OFFICER, HSBC**

IF SOMEONE IS ABLE TO HELP, WE THE INCUMBENTS NEED TO BE HUMBLE AND USE THAT

When Andy Maguire, chief operating officer of HSBC, first suggested that banks could collaborate with fintech companies people thought he was mad. "Everybody laughed and said, 'they're out to eat your lunch.' But we're a couple of years on now and it has proven to be true," he says.

Indeed it has and HSBC has not held back, becoming a big player in the fintech space and utilising collaboration to great benefit.

"Fintech firms generally don't want to be banks, they don't want our balance sheets, they don't want collections and recoveries and they certainly don't want our valuations," says Maguire.

"Realistically, banks are a great way for fintech companies to get rich, we and other incumbents have loads of big problems and now we have lots of bright people working on them – if someone is able to help, we the incumbents need to be humble and use that."

Rather than buying fintech companies outright ("banks are where fintech startups go to die") – Maguire recommends other forms of working relationship:

"Our position is to use the product and become a customer, or to buy stakes in a company – but we only do this if we're deeply committed to the application in a big way. The reason we'd look at investing is that we actually want to work with the company and help to shape and direct the technology."

The bank works on about 70 per cent of its own tech – outsourcing the

remaining work. So what exactly are the big problems that HSBC looks for help with?

"From the front end to the back end, we're increasingly working with partners to deliver various functions," explains Maguire. "There's a lot of work around UX and UI because banks are famously not great at really good customer experience.

"There's also a lot of work around optimisation and the use of data. We have an advantage in that we have lots of it - both small rich data and big data - not all banks are focused on big stuff so if we use it well it's very powerful."

Data helped the bank launch a programme called Nudge last year, which offers helpful prompts to users, letting them know if they're about to go overdrawn and reminding them to save. "Just short of becoming your mother," laughs Maguire.

THE BANK IS LOOKING INTO ROBOTICS, AUTOMATION, MACHINE LEARNING AND FINANCIAL CRIME COMPLIANCE

It doesn't stop there of course, the bank is looking into robotics, automation, machine learning and financial crime compliance. "We have to be at the cutting edge of transaction monitoring, we do a lot of hard work on that – because we have to. But it's like looking for a needle in a haystack."

Maguire has a gauntlet to throw down, however, pointing out that not all problems have been solved and he has a challenge for ambitious fintech minds: "Whenever I meet a super-confident, clever fintech person who thinks they can do anything – I always say, 'if you can build me an optimiser for customers, which gives them the right combination of overdraft, credit card and personal loan, that is fully compliant and gives you a great conduct outcome – I will give you $100 million.'"

He is yet to find a solution. "People come back in a few weeks, saying 'oh it's a bit harder than I thought!'"

IF YOU'RE NOT PLAYING IN THE RIGHT SANDBOX YOU WON'T LEARN TO PLAY IN THE SAME WAY

Cementing its dedication to technology, HSBC announced the creation of its Technology Advisory Board. The group, which includes the chief executive and chairman of Level39 member companies Token and Ripple, Steve Kirsch and Chris Larsen, get together a couple of times a year and are in regular contact with Maguire and his team.

"Those folks are real practitioners," explains Maguire. "They're not swanning around in private jets, they're sleeves-rolled-up doers. We get together a couple of times a year, once just to have drinks with executives and once with the board – with plenty of phone calls in between."

Maguire admits he's been blown away with the engagement from the members. "They've been very generous with their time. It's been delightful to see them really getting into working with the bank, sending emails at midnight and getting stuck into the various knotty problems."

It's these meaty issues that Maguire believes keeps fintech talent pouring into the London ecosystem: "London is an incredibly vibrant place to live so it attracts a lot of smart international people. There are so many big, complicated issues. If you're not playing in the right sandbox – and we in particular are a really interesting sandbox – you won't learn to play in the same way."

But one of the important elements of a healthy ecosystem, is a place to share these ideas, argues Maguire. Places like Level39 offer fintech companies and incumbents a space in which to bounce these big solutions off each other – and find out if they're on the right track.

"The most disappointing meetings I have are with people who think they've got the answer to everything," says Maguire. "They're the people who haven't been humble enough to go bounce their ideas off other folks.

"You need to be hungry, which fintech companies typically are, but you need to be humble and smart. If you aren't humble enough to investigate whether or not the thing you've designed solves a real problem, no matter how smart you are, then you're in trouble."

4

BILLION-DOLLAR

CONNEC

CTIONS

DEFINITION:
The collaborative interactions that turn billion-dollar ideas into business realities.

25% of Level39 members named access to investment as the number one challenge facing startups in London.

LEARNING FROM SCALE:
LONDON'S DIGITAL FUTURE

**RUSS SHAW,
FOUNDER, TECH LONDON ADVOCATES
& GLOBAL TECH ADVOCATES**

When I was general manager at Skype, a significant part of our growth strategy was based upon customer referrals and recommendations. I had seen the power of introductions and community structures from my time in Silicon Valley, where VCs and entrepreneurs constantly share connections to further the success of the ecosystem. But Skype was a revelation.

The speed with which the company scaled was based upon the power of network effects – creating a movement around a product that people found easy to use, affordable and innovative. Thanks to Skype, the Silicon Valley model had been translated to Europe in the form of a consumer tech business model.

Tech London Advocates, my network of over 4,500 tech experts, leaders and professionals in the UK, is built on this premise. I firmly believe that the private sector can address any challenge, showcase any success and establish a global reputation when it rallies around ideas, leaders, and campaigns.

London is uniquely positioned to benefit from network effects. Politicians and business leaders often describe London as having Silicon Valley, Los Angeles, Washington and New York all in the same city. When the full spectrum of the tech ecosystem – entrepreneurs, investors and government – come together they can achieve extraordinary things through little more than open networks and a united voice.

Over the past five years, we have seen this time and time again.

London's tech sector has successfully campaigned to make digital jobs recognised in visa routes, introduce digital skills to the national curriculum and take the message that London is a global tech hub around the world.

The potential of London's tech community as a campaigning force capable of driving genuine change has never been more important. After years of almost entirely unhindered growth, we are under threat. Levels of tech investment dropped for the first time in five years during H2 2016, which has been a significant 'wake up' call to the sector about the geo-political impact on the sector.

The danger, however, is for London to adopt a 'siege mentality'. The truth is that everything that made London a tech success is still here – the fundamentals continue to be strong and vibrant. The tech community needs to become a movement dedicated to championing the sector and creating startups and scaleups that have the best runway to scale. This will involve sharing expertise, best practice and contacts wherever possible.

Clusters of tech startups such as Level39 are beacons around which the private sector can mobilise. These are key links within the network chain and act as gateways into vital groups of customers, investors or influencers.

No-one believes the next five years will be easy, but entrepreneurs will always find a home in London as long as we keep making connections, nurturing ambition and aiming for billion-dollar companies.

THE POTENTIAL OF LONDON'S TECH COMMUNITY AS A CAMPAIGNING FORCE CAPABLE OF DRIVING GENUINE CHANGE HAS NEVER BEEN MORE IMPORTANT

OUR VIEW:
NO SPECTATORS

Over the last four years, Level39 has worked alongside some of the most successful companies operating in the verticals producing billion-dollar ideas.

The experience of accelerating growth for our members has taught us what is required to create a community where entrepreneurs, corporates and investors realise billion-dollar opportunities.

In order to empower the Ambition Ecosystem, there are certain characteristics, actions and commitments required:

FOR ENTREPRENEURS

1 KNEEL AT THE ALTAR OF PRODUCT MARKET FIT

Banks need technology services and they need them now. Their vast distribution networks sit on the other side of complex procurement procedures and legacy systems. Digital innovations designed not to bring the banks down, but integrate seamlessly, have the greatest potential for scale.

2 PURSUE CUSTOMERS NOT INVESTORS

Angels and VCs can seem highly attractive. However, don't lose sight of the importance of long-term commercial relationships. A good customer won't pull their funding out after three years. All they want is the best possible service – a pressure that will bring the best out of your company.

3 FOCUS RELENTLESSLY ON INNOVATION

The digital verticals with the greatest potential for scale are not easy areas in which to operate. Cybersecurity, mobile payments and blockchain are complex, requiring huge levels of expertise and time. These are not sectors powered by flat whites and MeetUps, but relentless ambition, dedication and innovation.

FOR INCUMBENTS

4 TAKE RISKS

The innovation required to embrace disruption and modernise demands a mentality to which you are not naturally suited – risk-taking. This cultural change needs to be led by CEOs, management boards and ambitious individuals. The stakes are high – personal embarrassment, unprofitable investments – but failing to act could lead to the decline of global banks and the financial industry. The time to act is now.

5 OPEN YOUR CHEQUEBOOK

Businesses show commitment in one way only – opening their chequebooks and paying for innovation. Accelerators, corporate venturing and hackathons are good practice, but incumbents need to establish commercial relationships with startups.

6 HARNESS THE NETWORK

Understanding the startup ecosystem can be challenging and many corporates are held back not by a lack of good intention, but ignorance of the market. London has an unparalleled private sector network and startup talent is out there if you look in the right place. Ask advice, seek guidance and mobilise the community.

FOR LONDON

7 SHOWCASE LONDON TECH ON THE WORLD STAGE

London's continued position as a financial powerhouse requires renewed commitment from a range of stakeholders. We all need to celebrate the success of London tech in international markets. Don't underestimate the strength of organisations such as DIT and London & Partners – other countries don't have the same amplification infrastructure in place and we need it more than ever.

8 INVEST IN TALENT

Immigration is under threat and visa routes are at capacity. Home-grown talent is in short supply and digital skills initiatives are operating locally rather than at scale. Tech needs to call on Brexit negotiators to keep borders open for world-class talent and invest in their young talent with training, apprenticeships and mentoring schemes.

9 BUILD BRIDGES

International expansion has never been more important, and London needs to look beyond Europe for growth. Fintech Bridges are being established to share partnerships and ideas with the likes of Japan, China and Israel, many of which land in Level39. Government needs to support more of them, and tech companies need to start using them.

OUR MEMBERS

Level39 is the home for ambitious problem-solvers. Our members range from pre-seed startups to established global businesses – all looking to benefit from Level39's unique services and network. We're always welcoming new faces and take great pride in becoming part of each individual business story.

We're here to help – whether that's making the right introductions, facilitating mentoring or simply offering a freshly baked cookie and a chat in the afternoon. As you can see, our members span many sectors, from big data to blockchain – but they all have one thing in common – the drive to make things better.

DATA

Advizzo
Aerospike
Aimbrain
AlphaQuants
Aston-Corp
Big Data Scoring
CityFALCON
Dexi.io
CueMacro
Datawatch
Digital Reasoning
Draper & Dash
EyesClear
Datatonic
Derivitec
Edge Laboratories
EMBonds
FinGenius
Finlytics
Helixtap
QxBranch
Heckyl
Keyrus
Lighthouse8
MapR Technologies
Mentat
Modelogiq
OpenCorporates
Pension Mandate
QxBranch
Singular Intelligence
SizeUp
Stockviews
Symetrics
Thalesians
The Sensible Code Company
Trunomi
Xeridia
Yodlee

BLOCKCHAIN

Applied Blockchain
BABB
Bitfury
BTL
CapitalDigi
Cashaa
CEX
Coinjar
Euklid
Satoshi Systems
Tallysticks
UBS

CRM

Adacta Labs
Corporator

CYBERSECURITY

Critical Cyber Systems
Cybrix
Cybus Global / Securus Global
Cybsafe
Digital Shadows
EclecticIQ
Encap Security
Envision&Company
Obrela Security Industries
Pixelpin
RedCloud Technology
Red Owl Analytics
Risk.Ident
Security Alliance
Secure Chorus
Signicat
Touchtech Payments
Verimuchme

ENTERPRISE

Cobweb

Cutover

MongoDB

FINTECH

11:FS

Advicefront

Aicura

Ainfin

AMP Credit Technologies

Bankable

Chip

ClauseMatch

Cloud Lending Solutions

Crowdstacker

Crowd Tech Funders

Darwinex

DealGlobe

Decimal Factor

doPay

Doreming

Dotography

ebankit

eToro

Finalytix

Finport

Firedrake Consulting (Bank in the Box)

Flocash

Flywire

FMB Developments

Foxberry

HCE Service

Homegrown

Huddlestock

Innovate Finance

Kuan Inc

Madfoo3atCom

Manigo

Money Berry

Money Mover

Monuva

MYPINPAD

Outperform.Market

Payfriendz

Paymentology

Pollen

Quantstore

Qubitia

Revolut

Ripple

RiskSave Technologies

RouteTrading

Silicon Investing

Small Change

Speedyr

Stylopay

Tesobe

The Ground UP Project

Token

TransferGo

VoguePay

Welendus

WiseAlpha

Xenfund

XTB Limited

Yielders

Zenith One

ZetraSoft

OTHER

Accenture

Id3as Company

The Entrepreneurship Institute

Viking Venture Management

PROGRAMMES

Innovation Norway

SILK Ventures

XnTree

PRODUCT STUDIOS

DotSquares

intive

MobiLab

Netguru

PRODUCTIVITY

UpSlide

REGTECH

Invoke Software

NUM Technology

Plio

TAINA Techology

TRONIXSS

RETAIL

Instantt

Proxad

SMART CITIES

Block Dox

Boldmind

Buzzstreets

EcoMachines Ventures

eSmart Systems

Ekodenge

ET Index

Eurosender

Polysolar

SEaB Energy

Sensonomic

Tridify

Utilidex

Your Parking Space

OUR TEAM

Our team is the engine room of Level39, making the connections required to realise billion-dollar opportunities. This is their perspective on the growth opportunities that will define 2017.

AMY FRENCH

ECOSYSTEM DEVELOPMENT MANAGER

AI and machine learning stand out for me as billion-dollar opportunities. They have huge potential to be used across a range of different industries which is why I believe they can be such transformational tools.

STEFANO LORINI

ECOSYSTEM DEVELOPMENT COORDINATOR

I believe cybersecurity, fit-tech and AI are changing the world. AI can understand data, consumer behaviour and patterns in an unprecedented way, giving businesses a competitive advantage.

ASIF FARUQUE

HEAD OF CONTENT

Technology which helps the billions of people who are suffering from war, famine, disease, poverty and corruption should take precedence above all else. I look forward to all developments in those sectors.

MARK DEVERRICK

AUDIO VISUAL

I believe in the growth potential of Level39's specialisms – fintech, cybersecurity and retail tech – having seen the members grow over the years, I only foresee more growth within these sectors as tech innovations continue to prosper at such a fast rate.

MUNA YUSUF

ECOSYSTEM DEVELOPMENT COORDINATOR

Drawing from my academic experience in health and science, I believe in the power of health technology to change the world and become a globally-significant industry.

JETTE LUTZ
EXECUTIVE ASSISTANT TO BEN BRABYN

I see a great opportunity in sustainable living technologies such as smart city technologies and renewable energy but also through health and medtech as we all become more conscious of living healthier lifestyles.

AMY TSANG
ASSISTANT FINANCE AND PROJECT ANALYST

For me, the travel sector has huge untapped potential. Airbnb being valued at $31bn says it all. Social media is another growth opportunity – by combining with marketing it is creating hugely powerful outreach tools.

JOANNE TAYLOR
HEAD OF EVENTS

I am most excited about the international collaboration we are seeing take place within the tech industry at Level39. Seeing people from Japan, China, Israel working alongside Level39 members is fantastic because this is how our members will accelerate and expand.

QAUNAIN MEGHJEE
HEAD OF SYSTEMS INTEGRATION

WebGL, virtual reality and edtech are all revolutionary technologies. In particular WebGL, as it allows advanced real-time 3D interactive experiences to be displayed on web browsers with no plugins, meaning that you can literally play a 3D game or navigate a virtual world on your web browser without downloading any apps or add-ons.

VESELA VUKOVA
ASSISTANT MANAGEMENT ACCOUNTANT

As health-consciousness gathers interest in populated cities like London and New York - I believe the trend will spread and tools such as social media and wearable devices will turn this into the next big industry.

ADAM LUK
HEAD OF FINANCE

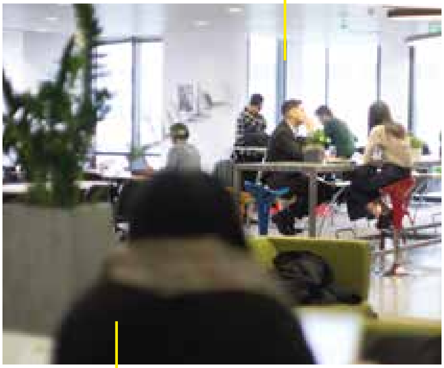
I started my career working for large multinationals and blue-chip corporations. I know first-hand the need for the largest companies in the world to invest in technology. Startups that understand the purchasing process and offer software that is simple to integrate will be the future success stories.

OUR SPACE

43,401 VISITORS TO LEVEL39 IN 2016

THREE FLOORS IN ONE CANADA SQUARE

LONDON'S LARGEST CONCENTRATION OF CYBERSECURITY STARTUPS



BANKS SPENT 148 HOURS WITH MEMBERS

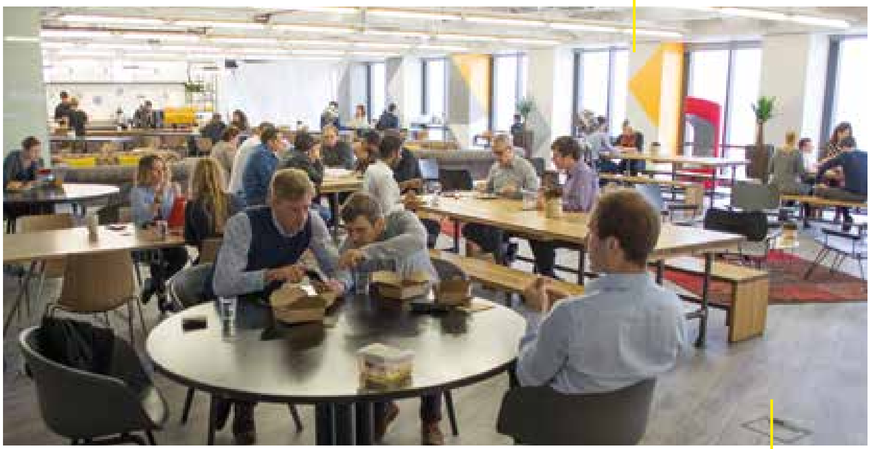
38,000 COOKIES CONSUMED IN 2016

12,000 CUPS OF COFFEE DRUNK EVERY MONTH

30% OF THE WORLD'S FINANCIAL SERVICES IT BUDGETS AT CANARY WHARF

37% MEMBERS IN FINTECH

INVESTORS SPENT 93 HOURS WITH MEMBERS



80,000 SQ FT AT LEVEL39

ONE IN FIVE MEMBERS IN DATA ANALYTICS

LEVEL39 IS THE WORLD'S MOST CONNECTED TECH COMMUNITY.

WE SUPPORT FAST-GROWTH TECH COMPANIES IN THREE CLEAR WAYS - GIVING ACCESS TO WORLD-CLASS CUSTOMERS, TALENT AND INFRASTRUCTURE.

THROUGH EXPERT MENTORS, ACCESS TO CANARY WHARF'S DYNAMIC WORKSPACE, A PACKED EVENTS CALENDAR AND BEST-IN-CLASS FACILITIES WE HELP BUSINESSES ACHIEVE SCALE.

OWNED WHOLLY BY THE CANARY WHARF GROUP, LEVEL39 LAUNCHED IN MARCH 2013. SINCE THEN, LEVEL39 HAS GROWN FROM A SIMPLE IDEA INTO A THREE-FLOOR, 80,000 SQUARE FOOT COMMUNITY SPACE OCCUPYING THE 39TH, 24TH AND 42ND FLOORS OF ONE CANADA SQUARE.

L39

L39

CANARY WHARF
GROUP PLC